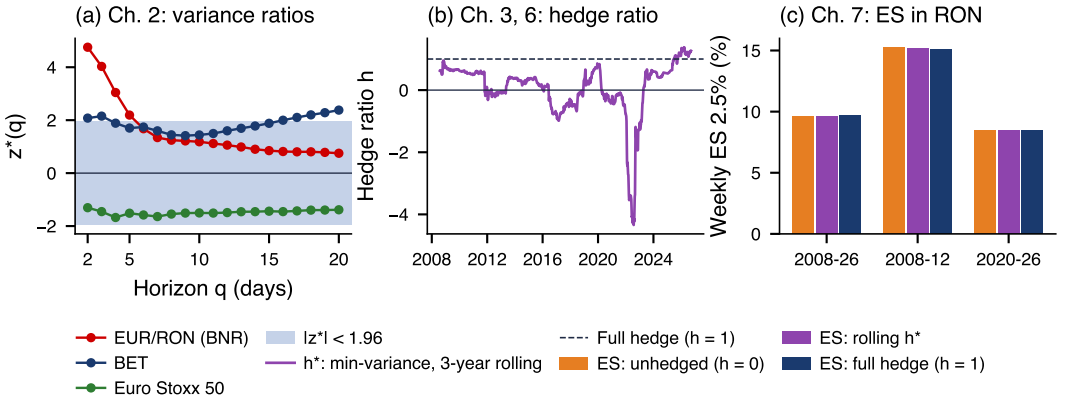
(a) Ch. 2: variance ratios
z*(q)
4
2
0
−2
2
5
10
15
20
Horizon q (days)
(b) Ch. 3, 6: hedge ratio
Hedge ratio h
0
−2
−4
2008
2012
2016
2020
2024
(c) Ch. 7: ES in RON
Weekly ES 2.5% (%)
15
10
5
0
2008-26
2008-12
2020-26
EUR/RON (BNR)
BET
Euro Stoxx 50
|z*| < 1.96
h*: min-variance, 3-year rolling
Full hedge (h = 1)
ES: unhedged (h = 0)
ES: rolling h*
ES: full hedge (h = 1)